happening—that is, the markets were seeing the beginning of an Asia-led economic recovery. Staying with his original market expectation would have been disastrous, as both equity and commodity markets embarked on a multiyear rally. The flexibility to recognize that his premise was mistaken and to act on that awareness allowed O'Shea to experience a profitable year, even though his original market outlook was completely wrong.

O'Shea believes that the best way to trade a market bubble is to participate on the long side to profit from the excessive euphoria, not to try to pick a top, which is nearly impossible and an approach vulnerable to large losses if one is early. The bubble cycle is easier to trade from the long side because the uptrend in a bubble is often relatively smooth, while the downtrend after the bubble bursts tends to be highly erratic. There are two components necessary to successfully trade the long side of a bubble. First, it is important to initiate a trade early in the bubble phase. Second, since bubbles are prone to abrupt, sharp downside reversals, it is critical that the long-biased position is structured so that the worst-case loss is limited. For this reason, O'Shea would never be outright long in a bubble market, but instead would express a bullish posture through a position such as a long call, a trade in which the maximum risk is defined by the premium paid for the option. Low volatility bubble markets are especially well attuned to being traded via long calls.

Although macro trades are typically based on a fundamental market view, there does not always have to be a reason for the trade. Sometimes, the market price action itself can reveal that something important is going on, even if the fundamental reason is not apparent. O'Shea experienced this situation in the course of LTCM's demise, an event that strongly impacted most markets. Although O'Shea did not know the reason for the market action at the time, he reasoned that the magnitude of the move implied there was an important fundamental development, and he adjusted his positions accordingly. He quotes George Soros on this concept: Invest first; investigate later.

Many of the traders I have interviewed have emphasized the importance of a disciplined money management plan. O'Shea provides an insightful, more nuanced view. O'Shea explains that money management discipline could even be counterproductive if it is inconsistent with the underlying